

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

HAPAG-LLOYD, A.G. AND HAPAG-LLOYD (AMERICA) LLC –
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-09

Served: February 9, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTION TO QUASH RESPONDENTS' SUBPOENA TO THE COMMISSION

On February 2, 2021, the Commission's Bureau of Enforcement ("BOE") filed a motion seeking to quash a deposition subpoena served on the Commission by Respondents Hapag-Lloyd and Hapag-Lloyd (America) LLC (collectively "Hapag-Lloyd"). BOE objects to the subpoena, arguing that "it improperly seeks to depose the Commission, discover irrelevant information, as well as information that is privileged from disclosure under both attorney client and deliberative process privileges," and creates an undue burden. Motion at 1.

On February 7, 2022, Hapag-Lloyd filed an opposition to the motion to quash. Hapag-Lloyd contends that discovery procedures apply to the Commission and the subject matter of the deposition is proper. Hapag-Lloyd seeks to discover information about the "specific decision made by the agency regarding the procedure to be followed in this case," asserting that the expedited process coupled with the statement that a "decision in this case will alleviate stress on the supply chain" appears "to be a rush to a pre-ordained judgment that raises serious due process issues." Opposition at 3, 5.

Commission Rule 148, regarding "[u]se of discovery procedures directed to Commission staff personnel" states:

(a) Discovery procedures described in §§ 502.142 through 502.147, directed to Commission staff personnel must be permitted and must be governed by the procedures set forth in those sections except as modified by paragraphs (b) and (c) of this section. All notices to take depositions, . . . must be served on the Secretary of the Commission.

(b) The General Counsel must designate an attorney to represent any Commission staff personnel to whom any discovery requests or motions are directed. The attorney so designated must not thereafter participate in the Commission's decision-making process concerning any issue in the proceeding.

(c) Rulings of the presiding officer issued under paragraph (a) of this section must become final rulings of the Commission unless an appeal is filed within 10 days

after date of issuance of such rulings or unless the Commission on its own motion reverses, modifies, or stays such rulings within 20 days of their issuance. Replies to appeals may be filed within 10 days. No motion for leave to appeal is necessary in such instances and no ruling of the presiding officer must be effective until 20 days from date of issuance unless the Commission otherwise directs.

46 C.F.R. § 502.148.

The discovery rule at issue, depositions by oral exam, is covered by Commission Rule 143(b)(6) which mirrors Federal Rule 30(b)(6).

Notice or subpoena directed to an organization. In its notice or subpoena, a party may name as the deponent a public or private corporation, a partnership, an association, a governmental agency, or other entity and must describe with reasonable particularity the matters for examination. The named organization must then designate one or more officers, directors, or managing representatives, or designate other persons who consent to testify on its behalf; and it may set out the matters on which each person designated will testify. A subpoena must advise a nonparty organization of its duty to make this designation. The persons designated must testify about information known or reasonably available to the organization. This paragraph (6) does not preclude a deposition by any other procedure allowed by these rules.

46 C.F.R. § 502.143(b)(6); *see* F.R.C.P. 30(b)(6).

Commission Rule 135 states that a “subpoena for the attendance of Commission staff personnel or for the production of documentary materials in the possession of the Commission shall be served upon the Secretary,” that a motion to quash may be filed, and that “attendance shall not be required until the presiding officer rules on said motion.” 46 C.F.R. § 502.135(a). Commission Rule 132 provides, in pertinent part, that “the person to whom the subpoena is directed may, by motion with notice to the party requesting the subpoena, petition the presiding officer to quash or modify the subpoena.” 46 C.F.R. § 502.132(a).

Commission Rules do not provide criteria for evaluating motions to quash, however, Commission Rule 12 provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Under the Federal Rules, a court must quash or modify a subpoena where the subpoena “requires disclosure of privileged or other protected matter, if no exception or waiver applies; or subjects a person to undue burden.” F.R.C.P. 45(d)(3)(A).

The subpoena at issue identifies five areas of examination.

1. The “unprecedented stress being placed on the supply chain” referred to in the Order, and the causes of same.
2. How the waiver of the requirements of 46 C.F.R. §502.63(d) in this proceeding will help alleviate the “unprecedented stress being placed on the supply chain.”

3. The “significant role that unreasonable detention plays in congestion and freight fluidity.”
4. The Commission’s understanding of when empty containers cannot be returned, including what constitutes evidence that appointments are unavailable.
5. The extent of a Motor Carrier’s obligations to make efforts to secure an appointment to return an empty container to a marine terminal.

Propriety

BOE asserts that the subpoena is “improper for the Commission, as the potential final adjudicator,” that it asks the Commission “to prejudge a potential finding of law,” and that it contradicts “the separation of functions.” Motion at 2-3. Hapag-Lloyd contends that this argument is meritless as “under the Commission’s own regulations, it is proper to depose a representative of the Commission.” Opposition at 1.

BOE’s argument suggests that the Commission could never be subject to a deposition in a Commission proceeding. In cases brought by the Federal Trade Commission and the Securities and Exchange Commission, federal district courts found that the agencies could be subject to depositions. “Like any ordinary litigant, the Government must abide by the Federal Rules of Civil Procedure. It is not entitled to special consideration concerning the scope of discovery, especially when it voluntarily initiates an action.” *SEC v. Collins & Aikman Corp.*, 256 F.R.D. 403, 414 (S.D.N.Y. 2009).

By its very terms, Rule 30(b)(6) applies to the Government. The Rule provides, in pertinent part, that “a party may name as the deponent a public or private corporation, a partnership, an association, *a governmental agency*, or other entity” (emphasis added). Thus, there is no express or implied exception to Rule 30(b)(6) for government agencies (even though the Government enjoys privileges unavailable to private litigants, such as the deliberative process privilege, the law enforcement privilege and the informant privilege). In fact, the Advisory Committee Notes to Rule 30(b)(6) indicate that in 1970 the Rule was revised specifically to allow for the deposition of a governmental agency.

SEC v. Merkin, 283 F.R.D. 689, 693 (S.D. Fla. 2012) (emphasis in original).

“A party is entitled to the facts relevant to the litigation. Thus, while certain information is protected from discovery by the attorney-client privilege, work product doctrine and/or other applicable privileges, *a party is required to disclose the facts underlying its claims.*” *FTC v. Cyberspy Software, LLC*, 2009 U.S. Dist. LEXIS 132299, at *4-5 (M.D. Fla. 2009) (citing *Dunkin’ Donuts, Inc. v. Mary’s Donuts, Inc.*, 206 F.R.D. 518, 520 (S.D. Fla. 2002) (emphasis in original)).

BOE has not established that subpoenas to the Commission are categorically improper. Hapag-Lloyd directed the subpoena to the Secretary, as required by Commission rules, and an appropriate representative of the Commission could be designated. Commission rules are clear

that discovery requests can be properly directed to the Commission. Accordingly, BOE has not established that the subpoena should be quashed on the basis of impropriety.

Relevance

BOE asserts that the information sought by the subpoena is irrelevant to the issues before the court, waiver of Commission Rule 63(d) is outside the purview of this proceeding, and the fifth area of examination suggests the Commission is imposing “regulatory requirements on an entity outside its jurisdictional authority.” Motion at 3. Hapag-Lloyd contends that it seeks a deposition to discuss subjects that are proper, including statements that justified the waiver of Rule 63(d) in the Order of Investigation and Hearing (“OIH”). Opposition at 4.

“Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense” and “[r]elevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence.” 46 C.F.R. § 502.141(e).

The subpoena’s areas of examination refer directly to statements in the OIH which initiated this proceeding, including the “unprecedented stress being placed on the supply chain;” the “significant role that unreasonable detention plays in congestion and freight fluidity;” and the return of empty containers. OIH at 3, 5. These issues were cited by the Commission as a reason for initiating this proceeding and are relevant to the issues being decided. In addition, the Commission has initiated a Fact Finding and issued a report which specifically provides guidance as to what it may consider in assessing whether a demurrage or detention practice is unjust or unreasonable. Final Rule: Interpretive Rule on Demurrage and Detention under the Shipping Act, Docket No. 19-05, 85 Fed. Reg. 29638, 29651 (May 18, 2020) (“Demurrage and Detention Rule”). Indeed, there is a fairly robust amount of information available to the general public about the Commission’s concerns with detention, demurrage, and per diem practices, as well as cargo delivery system challenges. Fact Finding 28 (*see* www.fmc.gov/fact-finding-28/); Fact Finding 29 (*see* www.fmc.gov/fact-finding-29/). Accordingly, BOE has not established that the subpoena should be quashed on the basis of lack of relevance.

Privilege

BOE asserts that the information sought by the subpoena is predecisional and protected under the deliberative process privilege or attorney work product. Motion at 3-4. Hapag-Lloyd contends that it does not seek privileged material and that it has offered to narrow the topics to be covered in the deposition. Opposition at 2.

Deliberative Process Privilege

The deliberative process privilege allows the government to withhold from disclosure documents reflecting “advisory opinions, recommendations and deliberations comprising part of a process by which governmental decisions and policies are formulated.” *In re Sealed Case*, 121 F.3d 729, 737 (D.C. Cir. 1997) (internal citations omitted); *see also* *DOI v. Klamath Water Users Protective Ass’n*, 532 U.S. 1, 8 (2001). For the deliberative process privilege to apply, the material sought to be disclosed must be predecisional and deliberative. *United States v. Fernandez*, 231 F.3d 1240, 1246 (9th Cir. 2000). “Documents are ‘predecisional’ if they were

generated before the agency's final decision on the matter, and they are 'deliberative' if they were prepared to help the agency formulate its position." *U.S. Fish & Wildlife Serv. v. Sierra Club, Inc.*, 141 S. Ct. 777, 786 (2021); *see also Nat'l Council of La Raza v. DOJ*, 411 F.3d 350, 356 (2d Cir. 2005). The deliberative process privilege "does not protect factual information, even if such information is contained in an otherwise protectable document, as long as the information is severable." *Redlands Soccer Club v. Dep't of the Army*, 55 F.3d 827, 854 (3d Cir. 1995).

The D.C. Circuit discussed the requirements for properly invoking the deliberative process and law enforcement privileges.

Assertion of either of these qualified, common law executive privileges requires: (1) a formal claim of privilege by the 'head of the department' having control over the requested information; (2) assertion of the privilege based on actual personal consideration by that official; and (3) a detailed specification of the information for which the privilege is claimed, with an explanation why it properly falls within the scope of the privilege."

Landry v. FDIC, 204 F.3d 1125, 1135 (D.C. Cir. 2000); *see generally, United States v. O'Neill*, 619 F.2d 222, 225 (3d Cir.1980) (finding that a claim of privilege was improper for failure to assert the above requirements). An affidavit from an official of "sufficient rank to achieve the necessary deliberateness in assertion of the deliberative process" privilege may be sufficient. *Landry v. FDIC*, 204 F.3d at 1136.

This is one of the initial cases brought by the Commission under the Demurrage and Detention Rule, and the first in which an expedited procedure is being utilized. It is understandable that Hapag-Lloyd would seek additional information about the process. Indeed, as Hapag-Lloyd's asserts, Opposition at 4-5, agency officials can be disqualified "where 'a disinterested observer may conclude' that the official 'has in some measure adjudged the facts as well as the law of a particular case in advance of hearing it.'" *Nuclear Info. & Res. Serv. v. NRC*, 509 F.3d 562, 571 (D.C. Cir. 2007) (quoting *Cinderella Career & Finishing Sch., Inc. v. FTC*, 425 F.2d 583, 591 (D.C. Cir. 1970)).

The Commission has found that staff-generated materials used to support the Commission's issuance of an Order to Show Cause could not be disclosed because they were protected by the deliberative process privilege, stating:

These documents satisfy both prerequisites of the deliberative process privilege. First, they are pre-decisional. The draft memoranda prepared by BOE attorneys were intra-agency communications, which were part of the deliberative process preceding the adoption of the Commission's decision to ultimately issue the Order. Second, these documents are deliberative. As the Court held in *Vaughn v. Rosen*, the document must be used not only in the determination of a policy, but also be directly part of the give-and-take of the agency's deliberative process. The draft memoranda in question, documents with Bates numbers 2469-2618, were clearly part of BOE's decision-making process to recommend to the Commission that an Order be issued. Moreover, before the issuance of an order, BOE, in conjunction with other Commission staff, should be able to candidly discuss

which actions the Commission might take during an investigation and whether to institute a proceeding. Therefore, we conclude that the draft memoranda and other communications as specified above qualify for the deliberative process privilege.

Exclusive Tug Franchises, Docket No. 01-06, 2002 FMC LEXIS 12, at *12-13 (FMC April 12, 2002).

Hapag-Lloyd contends that it does not seek privileged material, but rather “the Commission’s understanding of the interpretive rule generally, not how the interpretive rule is to be applied to the facts of this case,” and therefore relate to actions the Commission has “taken previously in a rulemaking capacity.” Opposition at 3. Hapag-Lloyd further asserts that their questions relate to “a specific decision made by the agency regarding the procedure to be followed in this case” and to “the interpretative rule on demurrage and detention issued by the Commission in May of 2020, and are therefore post-decisional rather than pre-decisional.” Opposition at 3.

However, “privileges that are intended to facilitate candid communication, such as the deliberative process privilege, generally do not have an expiration date.” *Nat’l Sec. Archive v. CIA*, 752 F.3d 460, 464 (D.C. Cir. 2013). “That is, the deliberative-process privilege should be judged based on the purpose of the document when it was created, not in hindsight. The privilege over a predecisional document is ‘waived’ only when the agency publishes the document or expressly adopts the document’s reasoning as its own.” *Am. Ctr. for Law & Justice v. DOJ*, 325 F. Supp. 3d 162, 174 (D.D.C. 2018) (internal citation omitted).

The areas of examination listed in the subpoena do not identify specific factual information that is sought. Rather, the subpoena refers to “what constitutes evidence,” the extent of a “Motor Carrier’s obligations,” and “causes” of unprecedented stress on the supply chain. These are legal issues likely in dispute in this proceeding. To the extent that Hapag-Lloyd seeks information specific to the decision to initiate charges against them, the decision to waive the Commission’s normal procedures in the case, how the demurrage and detention rules apply to the facts in this proceeding, or what facts are sufficient to be successful, that information would be covered by the deliberative process privilege. And, to the extent that Hapag-Lloyd may want to discuss the Commission’s policy decisions, a deposition would not be the best venue for that conversation.

Accordingly, BOE has established that the subpoena should be quashed because it primarily seeks information that is not factual and any facts sought would be covered by the deliberative process privilege. For this subpoena only, the motion will be sufficient to raise the deliberative process privilege, given the nature of the request.

Attorney work product

Federal Rule 26(b)(3) provides that “[o]rdinarily, a party may not discover documents and tangible things that are prepared in anticipation of litigation or for trial” unless there is a showing of substantial need or undue hardship and if discovery is ordered “it must protect against disclosure of the mental impressions, conclusions, opinions, or legal theories of a party’s attorney or other representative concerning the litigation.” F.R.C.R. 26(b)(3).

The Commission has stated that “[p]rior to the initiation of the proceeding, however, BOE acts as an advisor to assist the Commission in determining whether to begin the proceeding in the first place. In this capacity and at this stage in an investigation, BOE is properly seen as providing legal advice to the agency.” *Exclusive Tug Franchises*, 2002 FMC LEXIS 12, at *21. Accordingly, BOE’s communications may be protected by the attorney-client privilege.

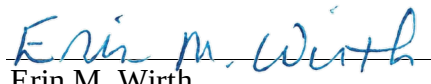
However, BOE’s assertion that “any communications by agency attorneys, agency staff, and/or the Commission, is further protected from disclosure by the attorney work product privilege” is overbroad and BOE provides no further explanation or support for this argument. While the attorney work product doctrine might apply to some information, it is not clear that all information requested by the subpoena implicates the attorney work product privilege. Therefore, BOE has not justified quashing the entire subpoena on the basis of attorney work product. If the deposition was otherwise appropriate, attorney work product could be raised to object to specific questions.

Undue Burden

BOE asserts that the information sought by the subpoena would not assist in the development of the factual record and requires the Commission to “speak as a single body.” Motion at 4. Hapag-Lloyd contends that there “is no burden, undue or otherwise, in having a representative of the Commission answer questions about the meaning of a statement made by the Commission in the public order initiating the proceeding.” Opposition at 6.

As discussed above, BOE has not established that subpoenas to the Commission are categorically improper or that requiring the Commission to designate someone for a deposition would be an undue burden. *See FTC v. Cyberspy Software, LLC*, 2009 U.S. Dist. LEXIS 1322, at *6 (“The FTC, as a governmental agency, is not immune from Rule 30(b)(6) designations and the Notice itself provides the FTC with the opportunity to designate whom it wishes to provide testimony.”). Hapag-Lloyd directed the subpoena to the Secretary, as required by Commission rules, and an appropriate representative of the Commission could be designated. Indeed, entities involved in Commission proceedings frequently need to make such designations. BOE has not established that there is an undue burden that would justify quashing the subpoena.

For the reasons discussed above, it is hereby **ORDERED** that BOE’s motion to quash the subpoena issued to the Commission be **GRANTED**. The parties are encouraged to work together to resolve this proceeding, including exchanging and discussing settlement proposals.


Erin M. Wirth
Chief Administrative Law Judge